

Orbit 02 2024

Originator: Spandana Sphoorty Financial Limited

October 28, 2024

Instrument	Amount (₹ crore) [@]	Balance Tenure (months) [*]	Credit Enhancement (₹ crore)		Rating ¹	Rating Action
			Cash Collateral	Over Collateral		
Series A1 PTC	39.16	13	4.74	11.21	CARE AA (SO)	Reaffirmed

Details of instruments/facilities in Annexure-1

[@]After September 2024 payout.^{*}Tenure/door-to-door maturity may change due to prepayments or changes in interest rates.**Rationale and key rating drivers**

CARE Ratings Limited (CARE Ratings) has reaffirmed ratings of Series A1 pass-through certificates (PTCs) issued by Orbit 02 2024, backed by microfinance loans receivables originated by Spandana Sphoorty Financial Limited (SSFL), at 'CARE AA (SO)' [pronounced as Double A (Structured Obligation)].

Reaffirmation in ratings is primarily based on performance of underlying loans in the last seven months post-securitisation, robust legal structure, well-defined payment mechanism, significant build-up in cash collateral (CC) and over collateral (OC) – as a percentage of balance amount of PTCs, subordination of excess interest spread (EIS), servicing capability and overall performance of SSFL.

Rating sensitivities: Factors likely to lead to rating actions**Positive factors - Factors that could, individually or collectively, lead to positive rating action/upgrade:**

- Delinquencies (90+ days past due [DPD]) of less than 2% and sustained high collection efficiency (cumulative collection efficiency of over 98%).
- Build-up of CC of over 2x the initial proposed (as a percentage of the balance principal outstanding [POS]).

Negative factors - Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Delinquencies (90+ DPD) of over 5% and sustained lower collection efficiency (cumulative collection efficiency of less than 90%).
- Deterioration in credit profile of the originator.
- Utilisation of CC.
- Non-adherence of transaction structure.

Analytical approach

Rating reaffirmation is based on inter alia, observed and expected performance of pool, presence of credit enhancement (CE) and adherence to the transaction structure.

Pool Performance Summary:

The pool has amortised by ~42% in seven months post-securitisation, with nil utilisation of CC. The pool has exhibited low delinquencies. As on September 2024, overdue (OD) (as a percentage of the initial POS) is 1.75%. The CE available is sufficient to sustain the ratings for the balance tenure.

¹Complete definitions of ratings assigned are available at www.careedge.in and in other CARE Ratings Limited's publications.

Pool summary (as of September 2024 payout)	
Months post-securitisation	7
Pool amortisation	41.58%
30+ delinquency (percentage of the initial pool POS)	7.12%
90+ delinquency (percentage of the initial pool POS)	2.53%
Overdue amount (percentage of the initial pool POS)	1.75%
CCE	96.07%
CC as a percentage of the balance pool POS	12.11%
Cumulative prepayments	6.50%

Detailed description of key rating drivers

Key strengths:

- CC as a percentage of PTC POS is 12.11%, which remains unutilised, and OC, which is 28.62% of PTC POS.
- The pool has performed on expected lines for seven months (post-securitisation) and has amortised ~42%.
- Well-defined payment mechanism and adherence to the transaction structure.

Key weaknesses:

- The 90+ DPD in the pool is at 2.53% with OD of 1.75% (as a percentage of initial pool POS).
- Weak borrower profile as this segment is susceptible to socio-political interference and other external shocks.

Liquidity: Strong

Inherent liquidity in the structure is strong. Interest payouts for Series A1 PTCs are promised monthly, while the principal of Series A1 PTCs is promised to be paid by final legal maturity. In case of delinquencies, payouts are expected to be supported by CE consisting of CC, principal subordination in the form of OC and EIS.

Key rating assumptions

CARE Ratings has analysed the transaction to assess whether CE is sufficient to cover shortfalls. Since the transaction is sensitive to credit quality of underlying pool, CARE Ratings has analysed pool performance and overall portfolio performance of the originator. Considering borrower profile and nature of loan, pool characteristics and portfolio performance, CARE Ratings has taken average peak shortfall from 7-9% of POS. Base case shortfalls were stressed along with other key factors such as timing of shortfalls, recovery assumptions, and time to recovery. CARE Ratings has found that CE provided is sufficient to cover shortfalls in a stress scenario commensurate with the assigned rating. Pool cash flow has been further adjusted for prepayments of underlying loans, assuming monthly prepayments in the range of 0.50%-1.00%.

Applicable criteria

[Policy on Default Recognition](#)

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Securitisation

SSFL is primarily engaged in extending microfinance loans through joint liability group (JLG) model to borrowers belonging to low-income household in 1997. In 2003, the company was registered with RBI, as a non-deposit taking non-banking finance company ("NBFC-ND") and is currently registered under the new category of NBFC-MFI. The company went into CDR, post the AP crisis in 2010 and exited CDR in April 2017.

SSFL was promoted by Padmaja Reddy, who holds ~8.57% stake in the company and Vijaya Sivarami Reddy Vendidandi (holding 0.15%). Other major stakeholders are Kedaara Capital and Affiliates (holding 7.03%) and Kangchenjunga Limited (holding 41.10%). The new CEO, Shalabh Saxena, and CFO Ashish have come from Bharat Financial Inclusion Limited (BFIL). Positions of CTO, CBO and CXO were also filled by Kedaara Capital.

Spandana has a presence in 20 states with 1570 branches. The portfolio is diversified, as Odisha constituted the maximum of 13.60%, but the top four states constituted 48.81% of the portfolio. SSFL is focused on its micro-credit business and follows JLG model for risk mitigation. SSFL's business is targeted towards under-privileged women. Each centre typically manages 1-3 groups, with each group consisting of 8-12 members.

Key financial indicators - SSFL

Particulars	FY22 (A)	FY23 (A)	FY24 (A)	Q1FY25 (P)
Total income (₹ crore)	1,392	1,394	2,407	689
PAT (₹ crore)	47	12	468	51
Net worth	3,031	3,043	3,556	3,614
D/E Ratio	1.20	1.95	2.53	2.33
Net NPA (%)	6.78	0.58	0.29	0.52
ROTA (%)	0.68	0.16	4.24	1.63

A: Audited; P: Provisional; Note: these are latest available financial results.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Nil

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instruments/facilities: Annexure-3

Complexity level of instruments: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance	Coupon Rate (%)	Maturity Date	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Pass Through Certificates	-	11-03-2024	10.50%	22-10-2025	39.16	CARE AA (SO)

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022
1.	Pass Through Certificates	LT	39.16	CARE AA (SO)	1)CARE AA (SO) (20-Jun-24)	1)Provisional CARE AA (SO) (11-Mar-24)	-	-

LT*- Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Complexity level of instruments rated

Sr. No.	Name of Instrument	Complexity Level
1.	Pass-through certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on complexity levels of rated instruments: CARE Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

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About us:

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